

His employer should perhaps be most unhappy with the overall outcome. John pulled some money out of the episode, the \$1 million he had saved. He should be thankful that the episode did not cost him anything – except the emotional drain. His net worth did not become negative. That was not the case for his last employer. John had earned for the employers, New York investment banks, around \$250 million in the course of the seven years. He lost more than \$600 million for his last employer in barely a few days.

THE TRAITS THEY SHARED

The reader needs to be warned that not all of the emerging market and high-yield traders talk and behave like Carlos and John. Only the most successful ones – alas, or perhaps those who were the most successful during the 1992–1998 bull cycle.

At their age, both John and Carlos still have the chance to make a career. It would be wise for them to look outside of the financial markets. The odds are that they will not survive the incident. Why? Because by discussing the situation with each of them, one can rapidly see that they share the traits of the *acute successful randomness fool*. What is more worrisome is that their bosses and employers shared the same trait. They, too, are permanently out of the market. We will see throughout this book what characterizes the trait. Again, there may not be a clear definition for it, but you can recognize it when you see it. No matter what John and Carlos do, they will remain fools of randomness.

A Review of Market Fools of Randomness Constants

Most of the traits partake of the same Table P.1 right-column–left-column confusion; how they are fooled by randomness. Below is a brief outline of them:

An overestimation of the accuracy of their beliefs in some measure, either economic (Carlos) or statistical (John). They never considered that the fact that trading on economic variables has worked in the past may have been merely coincidental, or, perhaps even worse, that economic analysis was fit to past events to mask the random element in it. Carlos entered the market at a time when it worked, but he never tested for periods when markets did the opposite of sound economic analysis. There were periods when economics failed traders, and others when it helped them.

The U.S. dollar was overpriced (i.e. the foreign currencies were undervalued) in the early 1980s. Traders who used their economic intuitions and bought foreign currencies were wiped out. But later those who did so got rich (members of the first crop were bust). It is random! Likewise, those who “shorted” Japanese stocks in the late 1980s suffered the same fate – few survived to recoup their losses during the collapse of the 1990s. At the time of writing, there is a group of operators called “macro” traders who are dropping like flies, with “legendary” (rather, lucky) investor Julian Robertson closing shop in 2000 after having been a star until then. Our discussion of survivorship bias will enlighten us further, but, clearly, there is nothing less rigorous than their seemingly rigorous use of economic analysis to trade.

A tendency to get married to positions. There is a saying that bad traders divorce their spouse sooner than abandon their positions. Loyalty to ideas is not a good thing for traders, scientists – or anyone.

The tendency to change their story. They become investors “for the long haul” when they are losing money, switching back and forth between traders and investors to fit recent reversals of fortune. The difference between a trader and an investor lies in the duration of the bet, and the corresponding size. There is absolutely nothing wrong with investing “for the long haul”, provided one does not mix it with short-term trading – it is just that many people become long-term investors after they lost money, postponing their decision to sell, as part of their denial.